

2025 Recommended NGO Checklist**Extra Due Diligence that may be taken up to mitigate Accounting & Audit Risk****Applicable to: NGO Renewal / New / Ongoing for FY 2024-25 and Onwards****(Beyond the standard docs required)****CAN BE MADE MANDATORY FOR PARTNERING / FUNDED NGOS:**

1. Website disclosures –
 - Annual Reports with Financials of the last 5 Financial Years (FY).
 - FCRA reports if applicable of the last 5 FY.
 - Details of Board Members.
2. **No pending IT / penal / statutory action underway on NGO or any Board Member.
3. **Timely filing of Form 10BD for donors for issuing 80G receipts.
4. **Timely filing of ITRs with no defaults over last 5 FY.
5. **Assessments / any scrutiny done by statutory / assessing officer has found no demand and non-compliance against the NGO.
6. Audits / Assessments:
 - Any 3rd party assessment by a government approved credible agency/Big 4 Consulting Firm or any agency hired by CSR funder, undertaken in last 5 years for project of 1 Crore or more size implemented by the NGO. This is applicable for NGOs that have undertaken projects of size 1 Crore or more with CSR funder support in FY2024-25, OR
 - Concerned NGOs audit and UC verification has undergone CSR Funder clearance as per Funder Policy/CAG/Govt norms for minimum of 3 FYs since association with CSR funder.
 - New / less than 3 FY partner NGO with project size less than 1 Cr may be fully checked on all parameters as listed in this document along with standard documentation.
7. **No default u/s 12A regarding charitable nature of the organisation throughout its existence. No activity has been done in contravention to trust deed / Objects of Society.
8. **If having FCRA, clear disclosure of 1) Source of funds and 2) application of funds in alignment with FCRA Certificate approval and mandate of the NGO. Timely filing of FCRA Returns with no defaults over last 5 FY.

Above may be implemented with immediate effect to ensure risk mitigation for FY 2024-25 audits and onwards to meet all IT Department, CSR and FCRA (as applicable) compliances.

CAN BE USED TO GIVE EXTRA WEIGHTAGE FOR PARTNERING / FUNDED NGOS:

1. Extra due diligence clearances - like RBI/SIDBI/Banking, CAG/PSU and Home Ministry/ FCRA.
2. Partnerships with renowned Corporates for minimum 3 FY
3. If undertaking project size greater than 1 Cr in a FY, average turnover of NGO over last 3 FY must be more than 3 Cr per year
4. Consistency of Board members in terms of 1/3rd of them being part of the Board for at least 3 years at a stretch
5. Alignment of Board members profile with mandate / Objects of the NGO

Note:

1. (**) – An Affidavit in this regard is required to be submitted by the head of the NGO. This could be one Affidavit that includes all points as mentioned.
2. This document is a recommendation from Nikhil Pant (Former Chief Programme Executive, National Foundation for CSR, IICA, Ministry of Corporate Affairs, GoI, from 2012 to 2017) and is only meant as a guide for Corporates/ CSRs and NGOs to enhance their compliance to laws, rules and regulations as applicable to them. It is advised that this document may be shared with your CSR Teams, CAs, CS and Legal Deptt. for suitable incorporation in your due diligence/compliance/governance process.